

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

IAN MILLS, *Claimant*

v.

CROWLEY LOGISTICS, INC., *Respondent*

FORMAL DOCKET NO.
1995(F)

June 7, 2024

**CLAIMANT’S REPLY TO RESPONDENT’S RESPONSE TO
ORDER REGARDING COMPLETION OF THE EVIDENTIARY RECORD**

Claimant Ian Mills provides this reply to Respondent’s Response to Order Regarding Completion of the Evidentiary Record, stating as follows:

1. Evidence:

Crowley contends that they did not receive nor is there proof that they received the generator set attached to the reefer. They say “*the evidence....strongly supports that Crowley never received a generator*” (Respondent’s Response Page 4), and that this is why the claim should be dismissed. In fact, there are **THREE** clear pieces of evidence from Crowley’s own submissions that **confirms** that the generator was attached to the container, was received by them and that they knew they were meant to pick it up with the container.

- A. The Respondent’s lead representative, Elizabeth Guia, received details of the generator as seen on the next page (from Attachment 2 of the Claim; and Claimant’s Supplementary Evidence Page CX-6-10) on November 9, 2021. Then, on November 18, 2021, she specifically communicated about the generator to her land transportation

colleagues (Rose-Marie Owen and Stan Parkes) confirming it was ready to be collected along with the container on November 19, 2021 (Respondent's Exhibit 1, RX-024). This also shows that Crowley agents **DID** know who "Brandon" is as Elizabeth specifically communicated with him about the container *and* the generator. This raises questions as to why Crowley denied knowing about the generator and even denied knowing who Brandon is in their response to the Honorable Alex M. Chintella, Administrative Law Judge.

Schreiber, Christian R.

From: Guia, Elizabeth
Sent: Friday, November 19, 2021 9:54 AM
To: Owen, Rose-Marie
Cc: Parkes, Stan
Subject: RE: 10825087// NEW BKG TO BARBADOS **SHIPPER OWN CONTAINER**

Hi Rose,

Please can you advise status ?



Elizabeth Guia, Logistics Coordinator
Crowley Logistics Inc
786 814 6607
elizabeth.guia@crowley.com
A row of social media icons for LinkedIn, Facebook, Twitter, and YouTube.

From: Guia, Elizabeth
Sent: Thursday, November 18, 2021 2:58 PM
To: Owen, Rose-Marie <Rose.Owen@crowley.com>
Cc: Parkes, Stan <Stan.Parkes@crowley.com>
Subject: RE: 10825087// NEW BKG TO BARBADOS **SHIPPER OWN CONTAINER**

Yes, I spoke with Brandon the issue was that he was waiting for the generator. Now it's ready.



Elizabeth Guia, Logistics Coordinator
Crowley Logistics Inc
786 814 6607
elizabeth.guia@crowley.com
A row of social media icons for LinkedIn, Facebook, Twitter, and YouTube.

B. The Respondent's truck driver signed the interchange sheet when collecting the generator and container which specifically referenced the generator as seen on the next page (Attachment 3 of the Claim; red arrow highlight now added) with additional supporting evidence in the form of a signed letter confirmation from Brandon Mason, the President of the supplier (Claimant's Supplementary Evidence PDF Page CX-3-4).



In summary, while Crowley has provided **no proof** that the generator set was not attached to the container when it was received (no photos or other hard evidence has been provided), I have three clear pieces of evidence showing that they knew it was meant to be collected, that it was attached to the container when collected, and that it was in their possession and attached to the container four days later when they transferred the container to King Ocean. This evidence is from their own employee communicating about the generator with the supplier and from two interchange sheets, one when Crowley collected the generator set and container and one when Crowley transported them to King Ocean. **Thus, it is clear that the overwhelming evidence suggests that Crowley did in fact pick up the generator, and that the generator was attached to the container when it was received.**

2. Rebuttals

I rebut the claims provided by the Respondent with respect to the reference “*perhaps not needed*” in my email dated 9 November 2021 to Elizabeth Guia, Crowley’s lead representative. The context of that email was that the invoice was perhaps not needed for the purpose of customs clearance upon entry to Barbados because the generator was attached to the 40ft container rather than a standalone item,

and I didn't want there to be confusion regarding whether this was a separate item that was being shipped separately. For the avoidance of doubt, this email didn't mean (and was never queried by the Respondent's representative Elizabeth as meaning) that the clip on generator wasn't an item for collection. Importantly, as per above email evidence, Elizabeth knew the generator was part of the collection and clearly communicated that to her land transportation colleagues (Respondent's Exhibit 1, RX-024), and it was subsequently signed for by their driver.

In addition, I rebut Crowley's flimsy argument that if the generator had been attached to the reefer container that it would be seen in their transportation management system. The container had nothing inside of the container before the goods were loaded, but that does not mean that the generator set was not attached to the back of the container where they are normally secured. In fact, almost all reefers traveling by ship will travel with a generator attached as this is how they power the refrigeration in the container during the period of shipment. Thus, it would not necessarily be something that their agents would note as "unusual" or "extra" in a transportation management system as almost every reefer will have a generator set attached to the back of the container.

I rebut the Respondent's inaccurate and irrelevant claim that shipping a clip on generator with my refrigerated container must be connected to shipping refrigerated cargo. At no point did the Parties agree to, nor did the Respondent, ship any refrigerated cargo for me. This reefer and generator set were meant to be shipped to me here in Barbados where it would provide stationary external cold storage for my small frozen food business. There has been no disagreement around the fact that the reefer container was not meant to be turned on in transit, and the Respondent's

representative, Elizabeth Guia, was clear that no refrigerated cargo was being shipped (Respondent's Exhibit 1, RX-001-RX-003 and specifically RX-022 whereby Elizabeth Guia informs her colleagues Rose-Marie Owen and Stan Parkes "...*please note this reefer will be off, we will not load any refrigerated cargo...*"). The simple point is that the clip on generator itself was one of the dry items being shipped as per the purchase invoice sent from the Claimant to the Respondent.

I rebut the Respondent's inaccurate and irrelevant claim that "*the unit does not have the internal air duct as a reference, which is part of all containers that have a cooling generator, because otherwise it would not cool the cargo*" (Respondent's Response Page 7). This is completely wrong. The 40 foot container is capable of refrigeration as recognized in extensive communications e.g. as stated on the supplied container purchase invoice "*Refrigerated Container*" i.e. reefer (Respondent's Exhibit 1, RX-009) and the container's refrigeration categorization specified on its safety certificate (Respondent's Exhibit 1, RX-006). Indeed, I have had the unit functioning as a refrigerated unit ever since receiving it. As clearly understood by Crowley's representative, Elizabeth Guia, I was simply shipping the container to myself, along with the attached generator and transformer, and other dry goods for which invoices were all supplied. The Respondent's first photo (with the number) is an internal side panel next to the front door of the container and the second photo is an internal photo of the length of the unit which shows, at the very end, a wall mostly covered by a panel which is situated in front of the refrigeration unit (which cools the unit by blowing air through the designed gap at the top of that panel – which is clearly visible) (Respondent's Response Page 7). A clip on generator would provide back up to that refrigeration unit. While the respondent's claims are completely inaccurate, I must also note that this has nothing to do with my claim and is completely irrelevant.

3. Legal Claims Arguments:

The evidence provided above supports a claim for relief under section 41104(a)(4) of the Shipping Act as follows:

A. I have provided proof that the Bill of Lading did not contain the generator (Attachment 4 to the Claim) and that the shipment did not contain the generator upon arrival with photo evidence (Attachment 5 of the Claim) and video evidence (Claimant's Supplementary Evidence Page CX-1)). Therefore, the Bill of Lading limitations on liability do not apply, and I am instead seeking relief under section 41104(a)(4) of the Shipping Act.

B. Section 41104(a)(4) of the Shipping Act specifically states that a common carrier "cannot engage in any unfair practice in the matter of loading or landing freight..or adjustment and settlement of claims." The Respondent acted unfairly by negligently failing to follow up properly on our inquiry as to what happened to the generator after their driver signed for it. Crowley says that they "*...exhausted all of its processes in order to thoroughly investigate...*", but **Crowley's representatives cannot prove that they even bothered to contact their truck driver that signed for the generator with the container.**

A reasonable duty of care executed by a reasonable person in similar circumstances would suggest that contacting their representative that signed for the item in question would be the first course of action after the warehouse confirmed that they did not have the item. This is negligence in its most basic form. It is an unfair practice to not have

and/or implement such a basic step when an item is reported missing that a driver signed for when receiving it. An exhaustive approach would have been implementing robust policies such as, in addition to contacting the warehouse, contacting their truck driver, reviewing Equipment Interchange Sheets (one of which provides specific evidence on this matter) and tracking down items that have been signed for.

I recognize that Crowley did not admit that they did not contact the driver, but rather said that they are “unclear” whether the driver was contacted. **How would they NOT know if the driver had been contacted?** They know who was investigating the claim through their email chains. If they contacted those performing the investigation and no one confirmed contacting the driver, they should simply say that the “driver was not contacted.” It should be noted that on January 25, 2022, as evidenced in the email chain, I wrote an email asking if they had at least contacted the driver that signed for my property to find out what happened (Respondent’s Exhibit 1, RX-125). No response on this question was provided from the Respondent. Therefore, they are either lying about being “unclear” whether the driver was contacted because the driver’s confirmation of pick-up was not favorable to their claim (which would not be surprising given that I have already proven that they lied about not knowing who Brandon is, lied about not knowing that they were meant to pick up the generator and lied about not having any evidence that the generator was received) OR they did not bother

to contact the driver in the first place. **Either way, negligently not following basic steps to recover someone's property that they lost is an unfair practice that has caused me unfair harm.**

C. In addition, the respondent acted unfairly when they negligently did not even bother to review or provide their Equipment Interchange Receipts to me, not even in response to me providing one from My Gold Coast Repairs. If they had, they would have revealed that the Respondent did have the generator on November 23, 2021 (Respondent's Exhibit 1, RX-157) as shown on the interchange sheet evidenced above when it was handed over to King Ocean, four days after they picked up the container and generator. If they had bothered to review the interchange sheets, they would have been able to contact the second driver who picked up the container with the generator attached from King Ocean and find out what happened to the generator. They have provided no proof that they bothered to take any of these basic steps to recover my property. **Negligently failing to take basic steps to recover lost property in the loading and landing of shipments is an unfair practice that has caused me unfair harm.**

D. Furthermore, the Respondent acted unfairly by failing to disclose pertinent information during the claims process. They had in their possession (1) the email exchanges proving that Elizabeth knew about the generator set to be picked up and communicated with the supplier about it, (2) a copy of the interchange sheet with the supplier of the

container and generator that proved their driver signed for the generator set (Respondent's Exhibit 1, RX-159-160), and (3) the interchange sheet with King Ocean proving that they had the generator set attached to the container four days after receiving it from the supplier. Yet, they NEVER provided any of this pertinent information to me during the investigation or claims process despite repeated attempts by me to understand what happened. You can see by the email chain that over six months I attempted to get information about the investigation and expressed my sincere frustration and disappointment that they were ignoring my emails or refusing to provide substantive responses. Instead, they simply provided no information and tried to force me to accept the limited offer of \$500 for the cargo that was lost, despite the fact that the cargo was worth \$8,500. They did this while hiding undeniable proof that they had collected the generator. This proof was not made available to me until they were ordered to do so by a judge. It must be noted that it was in the significant financial interest of the Respondent for me to sign the limited claim form instead of admitting the truth to me about the generator set.

Negligently failing to follow basic steps to recover property that has been lost in the loading and landing process and failing to provide pertinent information in the claims process are unfair practices that have caused me unfair harm.

E. Also, I must point out that the email exchanges with Crowley's warehouse provided by the Respondent seem to be incomplete and demonstrate a lack of systems in place with staff. Upon Crowley's representative, Elizabeth Guia, being notified of the missing generator by the Claimant, another Crowley colleague, Stan Parkes, appears to forward that email to their Land Transportation Supervisor, Rose-Marie, and then onto others (Respondent's Exhibit 1, RX-076-079). There is no email train between Elizabeth and Stan which suggests this may not be a complete record.

The warehouse team also seem to contradict each other in their responses. Representative, Walter Vergel, responds saying they had not loaded anything in that container (which is clearly contradicted by all the items that the Respondent did load into the container for the Claimant and which are not contested).

Additionally, Crowley warehouse staff do not seem to have or are not allowed to share critical information with the shippers. Elizabeth Guia, for example, informed me that they have no pictures of the container (Respondent's Exhibit 1, RX-081) which contradicts the photos the Respondent has now provided (Respondent's Response Page 7). As mentioned above, the Respondent appears to have an absence of policies in place for handling items attached to the exterior of containers (Respondent's Exhibit 1, RX-140–RX-143), like the

generator which was signed for. Their staff appear to be ill equipped to handle such investigations as well.

Lastly, the person, Miguel, who was assigned to investigate my case consistently gets confused by asking his affiliated partners about a ‘compressor’ that went missing, failing to even recognize that it was a generator that went missing.

F. Finally, the Respondent has failures in loading cargo policy and implementation in terms of the Respondent’s Facility Administrative Manual requirements (Respondent’s Exhibit 1, RX-140–RX-143) which do not specify procedures for inspecting/photographing/loading items attached to the exterior of containers, such as the generator. Accordingly, no external photos were taken of the container (rule 4.3) nor adequate processes carried out for the inspection (rule 4.4), operations/transportation (4.5/4.6) or loading of the generator or for relocating it when it went missing (rule 5). This points to a “practice” of unsuitable processes to prevent and recover missing property which violates the Shipping Act.

4. Case Law Comments:

I must point out that the Respondent’s responses on your case law examples are highly inaccurate as well. The respondent dismisses your case law by making arguments that the case law you referred to in Adair Vs Penn Nordic Lines and Symington Vs Euro Car Transport, Inc are inconsistent with my case because (1)

Crowley did not agree to ship the generator and (2) Crowley did not receive the generator to ship as evidenced by their interchange sheets. In fact, neither of these statements are true.

Crowley did agree to receive and ship the generator as evidenced by the email on November 9 where I sent the **invoices** of the reefer alongside the invoices of the generator and transformer to Elizabeth Guia. Elizabeth Guia also communicated with the supplier on November 18 with regards to the container and generator, noting that the delay in pick up was due to generator not being ready. She later confirms to her logistics colleagues that the generator and container were “now ready”. None of this points to evidence that Crowley did not agree to receive or pick up the generator. It, in fact, proves the opposite.

Crowley also did receive the generator **attached** to the container as evidenced by the interchange sheet with the supplier where their driver signed for both the generator and the container **and** the interchange sheet with King Ocean four days later where “accessory: genset” was listed with the container at pick up.

Importantly, even if the facts in Adair vs Penn Nordic Lines are not exactly the same as this case, the shipping law doesn’t specify that unfair practices are limited to cases exactly the same as Adair Vs Nordic Lines. It also does not specify that for unfair practices to exist, a bill of lading must be in place for the lost property. This law simply says that carriers must not engage in unfair practices with shippers, and this case law further emphasizes the importance of carriers dealing fairly and honestly with shippers.

FAIR dealings would not be consistent with a carrier negligently failing to take the most basic steps to recover property from a shipper, such as contacting their driver that signed for the property. It is also not consistent with negligently failing to look at interchange sheets that would prove that they had received the generator. Systems must be in place to ensure that these basic steps can be taken by staff to recover missing property. If those steps had been taken, we would have likely found the missing property and recovered it, resulting in no case and no loss to the shipper.

In addition, FAIR dealings is not consistent with a carrier that refuses to provide substantial and pertinent information on the inquiry of lost property, despite multiple requests from the shipper for them to do so.

FAIR dealings is also not consistent with a carrier trying to pressure a small shipper into accepting a liability offer worth only 6% of the value of the goods, while simultaneously withholding substantive evidence that they were at fault for losing the property (withholding the interchange sheet proving that they had the container and generator set attached four days after pick up). As no pertinent information was provided or admitted to me, I was forced to proceed with a small claims court process through the Federal Maritime Commission.

Finally, fair dealings is not consistent with providing false information and engaging in deceptive practices in a legal case with a shipper. In Crowley's responses, they made several false statements:

- a. That they never had the generator.
- b. Their employee did not know that the generator was supposed to be with the container.

- c. That they do not know who the supplier Brandon is.

They made these statements while having direct evidence to the contrary in their possession.

The Respondent says that a “litany of misconduct” must be present to prove an unfair practice. Shipping law does not specify that this must be the case. It simply says that carriers should not engage in ANY unfair practice with shippers. It also doesn’t specify that a “practice” must be proven over multiple instances. There can be evidence of unfair practice in how a carrier handles one instance of lost property, for example. However, if the Respondent would like evidence of a “litany of misconduct”, I have now provided above THREE misconducts which can easily be interpreted as unfair practice in how they handled this situation (negligence in taking basic steps to recover my property, withholding pertinent information in my inquiry and claims process, and providing false statements in the legal case brought against them).

I would like to further state that if this case allows for a precedent that unfair practice can only be proven in repeated instances over many shipments or even over many years, this would exclude small owner-operated companies like myself that make few shipments from ever being able to claim relief under the small claims proceedings of the Federal Maritime Commission. Only large companies that experience unfair practices over many years with large shipments using the same carrier would find such relief. Upholding this case, on the other hand, would help ensure that future small business owners like myself (who cannot easily withstand losing almost \$10,000 in equipment due to the negligence and deceptive practices of a

large carrier) can find relief through small claims proceedings when they are treated unfairly, as is the case in this instance

Attorneys' fees

Under Sections 502.254, 502.321 and 502.318(b), it is at the discretion of the Commission whether to permit attorney fees to be awarded. If the Respondent had taken reasonable steps, such as contacting their truck driver, or reviewing their Exchange Interchange Sheet (Respondent's Exhibit 1, RX-157), they could have located the generator and resolved this incident. They did not and then, after recommending I report the loss, they refused to accept liability. I had no option left but to file a FMC claim.

I submitted the claim using the informal procedure for adjudication of small claims. The total claim is \$10,662, significantly less than the guidelines encouraging use of the informal procedure for claims less than \$50,000. I could not afford to instruct attorneys and knew I had to represent myself, hence why I had chosen the informal small claims procedures in hopes that a resolution could be found.

The Respondent rejected the informal procedure and escalated it to a formal claim. Why would they do this for such a relatively tiny claim? The amount of this claim is only a drop in the ocean for them. **The only explanation for this is that their representatives had the intention of being able to claim large legal fees by billing more hours through a longer formal process, even when such a formal process was not warranted for this size of claim.** This speaks to the viciousness of the Respondent and the character of those representing the Respondent that they would not only refuse to take basic steps to recover my property, withhold pertinent

information that proved their guilt and make false statements in a legal case against them, but that they would also try to profit from the loss they have caused me by racking up high attorney fees and threatening to claim for these fees. They are obviously very aware that a small company like myself is unable to pay such fees without going under, and yet despite knowing their guilt in this matter, they are proceeding to try to ruin me further.

I have spent a lot of time and energy and stress on this claim, taking me away from other important income-earning work as well as away from important family moments. Despite this, if I am the prevailing party for the section 41104(a) claim, I will not make a claim for attorney fees or make a claim for the time and stress caused on me. I could not afford to obtain an attorney and simply want my property, that I have now proven was in the Respondent's care, either returned to me or given the amount I paid for it.

My position is backed by the Commission Statement on Attorney Fees (Docket No. 21-14 issued December 28, 2021) which says "*When determining whether to award attorney fees, the Commission is informed by the principle that "parties should be encouraged to litigate meritorious claims and defenses," and attorney fee liability should not be imposed in a way that would chill the filing of credible claims and defenses.*" There is no doubt that an award of attorney fees in this case would reasonably 'chill the filing of credible claims and defenses' from small companies such as myself that cannot afford to withstand huge attorneys fees and cannot afford to engage a lawyer. It is also unfair that I was forced to proceed with a formal claim when I had requested an informal procedure that was highly unlikely to incur attorney fees.

The factors the Commission considers in awarding attorney fees (frivolousness, motivation, misconduct, deterrence and compensation) also all weigh in my favor.

This is a meritorious claim. My claim was reasonable (with my section 41104(a) claim already determined plausible by the Honorable Administrative Judge). I have not acted with any improper motivation, and I have litigated in good conduct.

Furthermore, I feel that the Respondent should not be awarded attorney fees in this case because if they had simply taken reasonable steps to locate my property in the first place (such as contacting the driver and looking at their interchange sheets) when the incident was first reported, we could have avoided this claim from being made and probably recovered the property. Their negligence in this matter does not merit any compensation, even with regard to the section 41104(c) claim, which would also be disproportionate to the size of the claim.

I respectfully request that no party should be awarded attorney fees for any part of the claim including as regards section 41104(c).

In Conclusion,

The Honorable Alex M Chintella, Administrative Law Judge, determined that I have a plausible claim under section 41104(a) of the Shipping Act. This requires evidencing that Crowley engaged in an unfair practice in the matter of loading or landing the generator or in the adjustment and settlement of claims. Extensive evidence has been provided in support of that claim.

The first facts of the case are that the parties agreed for my generator to be collected, it was collected by the Respondent's representative (as per purchase invoice, Crowley calls/emails with the supplier, and two signed interchange sheets).

The generator was not included in a Bill of Lading and was not shipped to me (photo and video evidence). Upon notification of this incident, Crowley engaged in unfair practices in relation to the loading and landing of the generator and in the settlement of my claim.

Crowley's practices were unfair by their representatives negligently failing to follow up properly on my inquiry as to what happened to my generator after their driver signed for it. Crowley's representatives did not exercise a reasonable duty of care by not contacting their truck driver (despite requests), not reviewing or sharing Equipment Interchange Sheets (one of which provides specific evidence which could have led to the quick resolution of this matter), contradicting each other (as to whether or not there were photos of the container), claiming to not know who Brandon was despite Crowley's lead representative speaking with and emailing him directly for collection (with Crowley in receipt of those records), denying the generator was collected despite being in possession of their own copy of the My Gold Coast Repairs interchange sheet signed by Crowley's truck driver as well as a separate and critically important Equipment Interchange Sheet between Crowley and their affiliate (not shared with me when I reported the incident nor when I filed the claim but only when the Respondent was ordered by the Honorable Administrative Judge to provide supplementary evidence) which proves Crowley had the generator for at least four days after collection from the supplier.

You can see by the email chains that for five months I attempted to get information about the investigation and expressed my sincere frustration and disappointment that they were ignoring my emails or refusing to provide substantive responses. Instead, they simply provided no information and only offered me \$500 for the cargo that was worth \$8,500. They did this while hiding undeniable proof that they had collected the generator. And finally in this Claim process the Respondent's supplementary evidence appears to include incomplete email exchanges with

Crowley's warehouse and demonstrates a lack of appropriate systems in place or implemented. The Respondent has failures in loading cargo policy and implementation in terms of the Respondent's Facility Administrative Manual requirements which does not specify procedures for inspecting, photographing or loading items attached to the exterior of containers, such as my generator. Accordingly, no external photos were taken of the container nor adequate processes carried out for the inspection, loading or transport of the generator or for relocating it when it went missing.

Finally, the Respondent has made false statements in this legal case claiming that they never intended to receive the generator, that they never received it and that they did not know who Brandon is. All of these statements they made while having in their possession direct evidence to the contrary.

This all amounts to unfair practices in the matter of loading and landing of property and has caused me unfair harm.

The Claimant respectfully requests the Honorable Administrative Law Judge to rule in favor of my section 41104(a) claim

(Date) June 7, 2024

(Claimant's signature) *Ian W. Mills*

(Claimant's address) 47B Millennium Heights, Welches, Barbados

(Agent or attorney) N/A

VERIFICATION

I verify under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.

Ian W. Mills

June 7, 2024

Ian Mills

Certificate of Service

I hereby certify that I have this day served the foregoing document upon all parties of record in this proceeding by emailing a copy to each such person in sufficient time to reach such person on the date the document is due to be filed with the Commission.

June 7, 2024

Ian W. Mills

Ian Mills

47B Millennium Heights

Welches, Barbados